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2.2 Trade in the Contemporary World

This topic examines global trade patterns, the organisations and agreements that govern trade, the role of transnational corporations, and debates around free trade, protectionism, and fair trade. It considers how trade creates both opportunities and inequalities, and evaluates trade as a strategy for development.

Global Trade Patterns

Trade: The exchange of goods and services between countries (international trade) or within countries (domestic trade). Trade allows countries to specialise in producing goods in which they have a comparative advantage, theoretically increasing global efficiency and wealth. World merchandise trade reached approximately $25 trillion in 2022, having grown roughly 30-fold in real terms since 1950.

Key Trade Terminology

Term	Definition
Exports	Goods and services sold to other countries, earning foreign currency
Imports	Goods and services bought from other countries, spending foreign currency
Balance of trade	Difference between the value of exports and imports. A surplus means exports > imports (e.g., Germany, China); a deficit means imports > exports (e.g., UK, USA)
Visible trade	Trade in physical, tangible goods (manufactured products, raw materials, food, fuel)
Invisible trade	Trade in services (finance, insurance, tourism, intellectual property, shipping, education). The UK has a persistent surplus in invisible trade thanks to the City of London's financial sector

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Terms of trade	The ratio of export prices to import prices (index of export prices / index of import prices x 100). If a country's export prices fall relative to its import prices, its terms of trade deteriorate — it must export more to buy the same quantity of imports
Comparative advantage	David Ricardo's principle (1817): a country should specialise in producing goods where it has the lowest opportunity cost, even if another country can produce everything more cheaply (absolute advantage). Trade based on comparative advantage benefits both parties
Foreign direct investment (FDI)	Investment by a company in one country into business operations in another country (e.g., building a factory, acquiring a company). A key mechanism through which TNCs engage with host economies

Patterns of Global Trade

- **Dominance of major economies:** The USA, EU, China, and Japan together account for roughly half of world trade. China overtook the USA as the world's largest goods trader in 2013 and is now both the world's largest exporter and second-largest importer
- **North-North trade:** Historically, most trade has occurred between developed countries — manufactured goods, services, and intra-industry trade (e.g., Germany exports cars to France while importing French cars). This pattern still dominates by value
- **North-South trade:** Developing countries tend to export primary commodities (minerals, agricultural products, raw materials) to developed countries and import manufactured goods and services. This creates an unequal exchange that dependency theorists argue perpetuates underdevelopment
- **South-South trade:** Growing rapidly, driven by China's engagement with Africa, Latin America, and Southeast Asia. Now accounts for roughly 25% of world trade, up from under 10% in 1990. China is Africa's largest trading partner ($254 billion in 2021)
- **Rise of emerging economies:** China's share of world exports rose from 1% (1980) to ~15% (2023). India, Vietnam, Bangladesh, and Mexico are increasing their export shares as manufacturing shifts to lower-cost locations
- **LICs' marginal share:** Sub-Saharan Africa accounts for less than 3% of world trade despite having ~17% of world population. The 48 Least Developed Countries together account for barely 1% of global exports

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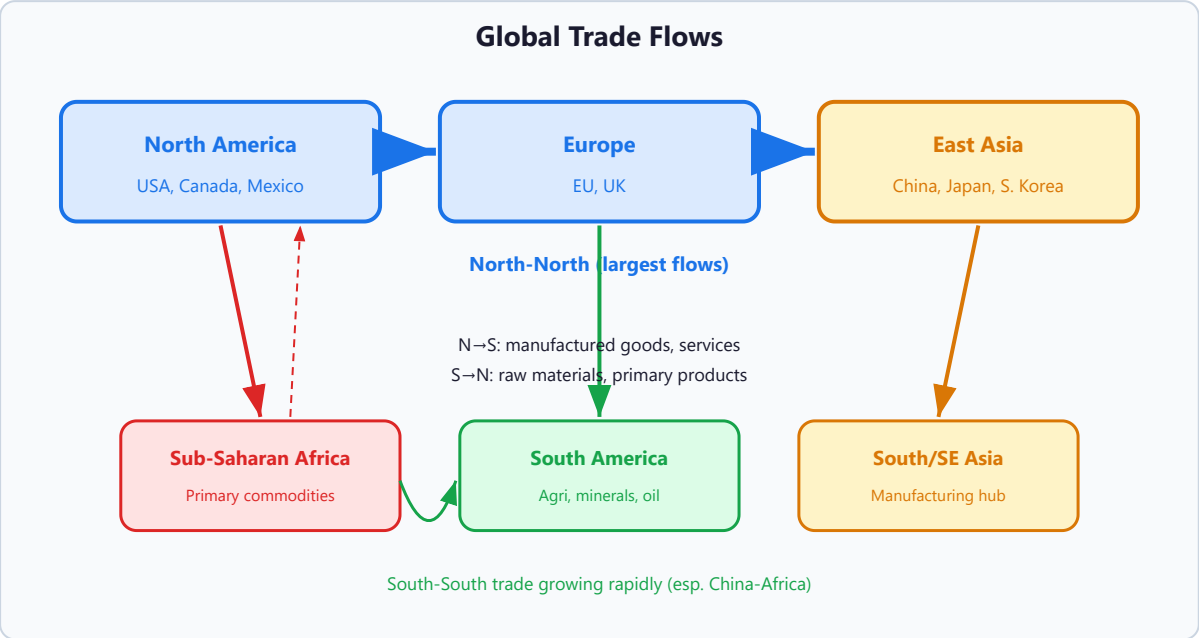
- **Service trade growth:** Trade in services (finance, IT, tourism, education) has grown faster than goods trade. Services now represent ~25% of total world trade and are particularly important for HICs (the UK's service exports are worth over $400 billion/year)



Why Trade Patterns Are Unequal

Primary Product Dependency

Primary product dependency: When a country relies heavily on exporting one or a few unprocessed raw materials (e.g., coffee, copper, cocoa, oil, diamonds). This creates extreme vulnerability because: (1) primary commodity prices are volatile — subject to sudden fluctuations based on weather, speculation, and demand cycles; (2) long-term terms of trade deteriorate as primary product prices fall relative to manufactured goods (the Prebisch-Singer hypothesis); (3) reliance on a single commodity means the entire economy is exposed to one market. Example: Zambia depends on copper for 70% of export earnings; when copper prices halved in 2015, government revenues collapsed, and the currency lost 45% of its value.

Causes of Trade Inequality

- **Colonial legacy:** Former colonies were deliberately structured to export raw materials to the colonial power and import manufactured goods. Colonial powers suppressed local manufacturing to maintain

captive markets. This dependency persists: many former colonies still export the same primary products they did under colonial rule (e.g., Ghana: cocoa; Zambia: copper; Bangladesh: jute, now garments)

- **Deteriorating terms of trade:** The Prebisch-Singer hypothesis (1950) argues that prices of primary commodities tend to fall relative to manufactured goods over time. The result: LICs must export ever-increasing quantities of raw materials to buy the same volume of imports. Between 1980 and 2000, coffee prices fell by 70% in real terms while the price of imported manufactured goods rose
- **Lack of infrastructure:** Poor transport networks (roads, railways, ports), inadequate storage and cold-chain facilities, unreliable electricity, and limited processing capacity make it difficult for LIC producers to add value, reduce waste, or access global markets competitively. Landlocked countries (e.g., Uganda, Chad) face additional costs
- **Protectionism by HICs:** Wealthy countries use tariffs, quotas, and subsidies to protect their own industries while preaching free trade. This hypocrisy is a core driver of trade inequality. Tariff escalation is particularly damaging: HICs impose low tariffs on raw materials (to secure cheap inputs) but high tariffs on processed goods (to prevent competition with domestic manufacturers). Example: the EU charges 0% tariff on raw cocoa beans but 7.7% on cocoa powder and 15% on chocolate — discouraging Ghana from building its own chocolate industry
- **Agricultural subsidies:** EU Common Agricultural Policy (CAP) subsidises EU farmers at ~$50 billion/year; US farm subsidies total ~$20 billion/year. These subsidies allow HIC farmers to produce at below cost and dump surplus on world markets, undercutting LIC farmers who receive no subsidies. Cotton subsidies alone cost West African cotton farmers an estimated $250 million/year in lost income
- **Power imbalance in negotiations:** HICs dominate trade negotiations and institutions. LICs lack the technical expertise, legal resources, and political leverage to negotiate effectively. At WTO rounds, some LICs can only afford one or two negotiators while the USA and EU bring teams of dozens
- **Debt burden:** Many LICs are trapped in debt cycles, diverting scarce resources from productive investment to debt servicing. Although the HIPC (Heavily Indebted Poor Countries) initiative provided some relief, many countries have since re-accumulated debt, especially from Chinese loans linked to infrastructure projects

Exam Tip: Be able to explain the trade inequality cycle clearly: LICs export cheap primary products → earn little foreign exchange → cannot invest in diversification, manufacturing, or infrastructure → remain dependent on volatile primary exports → terms of trade deteriorate further. Link this to dependency theory (Andre Gunder Frank, 1966): the "core" (HICs) develops at the expense of the "periphery" (LICs), actively underdeveloping them through unequal trade relationships. Contrast this

with modernisation theory (Rostow), which argues that trade and foreign investment will eventually allow LICs to "take off" into self-sustaining growth.

Trade Agreements and Organisations

World Trade Organization (WTO)

WTO: An international organisation established in 1995 (successor to the General Agreement on Tariffs and Trade, GATT, which operated from 1947). It regulates global trade, promotes free trade through multilateral negotiations, and provides a dispute settlement mechanism. Based in Geneva with 164 member states covering ~98% of world trade.

WTO Core Principles:

- **Most Favoured Nation (MFN):** Any trade advantage (e.g., lower tariff) given to one WTO member must be extended to all members — prevents discriminatory bilateral deals. Exceptions exist for trade blocs (regional trade agreements) and developing country preferences
- **National treatment:** Once goods enter a country, they must be treated the same as domestically produced goods (no additional discrimination)
- **Reciprocity:** Trade concessions should be mutual — both sides reduce barriers
- **Transparency:** Trade policies and regulations must be published, predictable, and stable
- **Special and differential treatment (SDT):** Developing countries are given extra time to comply with agreements, lower commitment thresholds, and technical assistance

Criticisms of the WTO:

- Dominated by HICs who set the agenda and have greater negotiating resources; LICs lack capacity to participate effectively in complex negotiations
- Free trade can damage infant industries in LICs that cannot compete with established, subsidised HIC producers
- The Doha Development Round (launched 2001, intended to address developing country concerns) stalled and effectively collapsed because HICs refused to make meaningful cuts to agricultural subsidies

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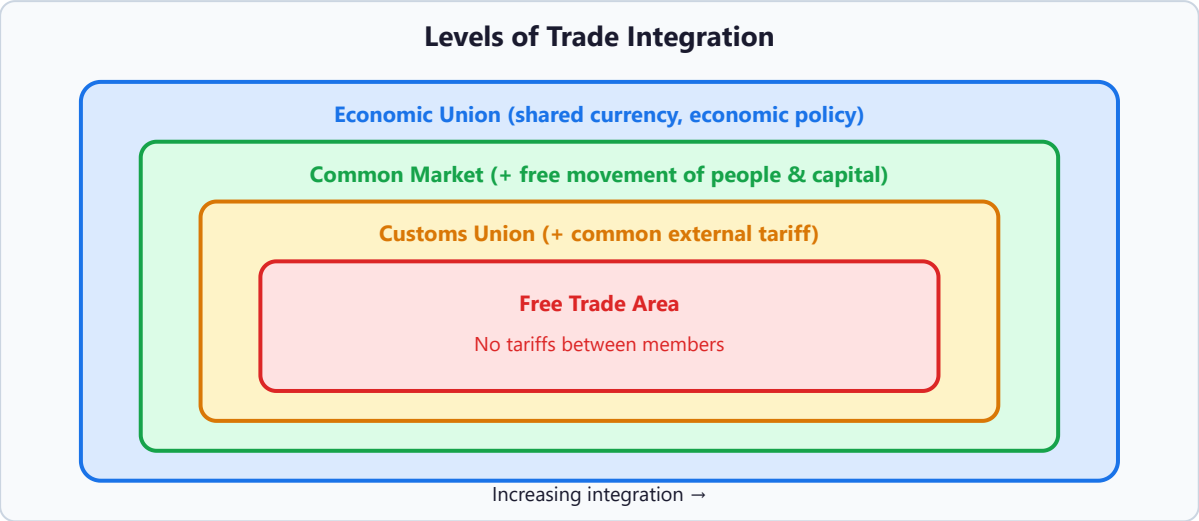
- Dispute settlement mechanism favours countries with the financial and legal resources to bring complex cases (average cost of a WTO dispute: $500,000+). The USA has been involved in 300+ disputes; many LICs have never brought a single case
- Critics argue the WTO prioritises trade liberalisation over labour rights, environmental protection, and equitable development. The "race to the bottom" in environmental and labour standards is partly driven by WTO rules that restrict governments' ability to impose conditions on imports
- Decision-making by consensus gives every member a theoretical veto but in practice empowers the largest traders to block progress on issues that do not serve their interests

Trade Blocs

Trade bloc: A group of countries that have agreed to reduce or eliminate trade barriers (tariffs, quotas) between members, while often maintaining common or individual external tariffs against non-members. Trade blocs have proliferated since the 1990s — almost every country now belongs to at least one.

Type	Description	Example
Free trade area	No tariffs between members; each country sets its own external tariffs	USMCA (USA, Mexico, Canada — replaced NAFTA in 2020); ASEAN Free Trade Area; African Continental Free Trade Area (AfCFTA, launched 2021 — 54 countries, potentially the world's largest free trade area by membership)
Customs union	Free trade between members + common external tariff (CET) applied uniformly to non-members	EU Customs Union; Mercosur (Brazil, Argentina, Uruguay, Paraguay)
Common/single market	Customs union + free movement of labour, capital, and services between members	EU Single Market (four freedoms: goods, services, capital, people)
Economic union	Common market + harmonised economic	Eurozone (20 EU states sharing the euro)

	policies (fiscal, monetary), possibly shared currency	



Advantages and Disadvantages of Trade Blocs

Advantages	Disadvantages
Increased trade between members (trade creation); EU intra-trade is ~60% of members' total trade	Trade diversion: members may buy from less efficient bloc partners instead of cheaper non-members, reducing overall efficiency
Greater political cooperation and stability (the EU was partly founded to prevent another European war)	Loss of sovereignty: members must follow bloc rules and cannot make fully independent trade deals
Larger market attracts FDI from companies wanting access (e.g., Japanese car manufacturers building in UK for EU market access)	Excludes non-members; common external tariffs can harm LIC exporters trying to access the bloc's market
Economies of scale; lower consumer prices through competition; greater product choice	May benefit larger or richer members disproportionately (e.g., Germany benefits most from the euro's relatively weak exchange rate)

Greater collective negotiating power on the world stage (EU negotiates trade deals representing 450 million consumers)	Decision-making can be slow, bureaucratic, and subject to lowest-common-denominator compromise

Case Study: European Union (EU) — Deep Economic Integration

The EU is the world's largest single market (27 member states, 450 million consumers after Brexit):

- **Single Market:** Free movement of goods, services, capital, and people among members (the "four freedoms"). Eliminates customs checks, allows mutual recognition of qualifications, and harmonises product standards. Worth an estimated 8.5% additional GDP for member states
- **Common Agricultural Policy (CAP):** Subsidises EU farmers at ~$50 billion/year (~36% of the EU budget). Originally designed to ensure food security post-WWII. Criticised for distorting global markets, overproduction, environmental damage, and harming LIC farmers who cannot compete with subsidised EU exports dumped on world markets. Reformed multiple times but remains controversial
- **Eurozone:** 20 states share the euro currency, eliminating exchange rate risk and transaction costs for trade between members. But: removes ability to devalue currency during economic shocks (contributing to Greece's debt crisis 2010–2015, when Greek GDP fell 25% and unemployment reached 27%)
- **Brexit (2016–2020):** UK voted to leave the EU (52% to 48%), arguing for sovereignty, immigration control, and the ability to make independent trade deals. Resulted in: new customs and regulatory barriers between UK and EU; Northern Ireland Protocol complications; reduced UK-EU trade (UK goods exports to EU fell ~15% in the first year); labour shortages in agriculture, hospitality, healthcare, and logistics as EU workers left
- **Impact on LICs:** EU "Everything But Arms" (EBA) initiative gives 49 Least Developed Countries duty-free, quota-free access to the EU market for all products except weapons. However, CAP subsidies still undermine LIC agricultural competitiveness, and complex rules of origin requirements can exclude smaller producers. Economic Partnership Agreements (EPAs) with African, Caribbean, and Pacific countries are criticised for pressuring LICs to open their markets to EU goods too quickly

Transnational Corporations (TNCs)

Transnational Corporation (TNC): A company that operates in more than one country, typically with headquarters (HQ) in an HIC and production, marketing, and sales operations across multiple countries. TNCs are the primary agents of economic globalisation and control a large share of world trade — intra-firm trade (transfers within TNCs) accounts for an estimated one-third of all global trade. The largest TNCs have revenues exceeding the GDP of many countries (e.g., Walmart's revenue of ~$600 billion exceeds the GDP of all but ~25 countries).

Why TNCs Locate Overseas

- **Lower labour costs:** Manufacturing wages in Bangladesh ($95/month) or Vietnam ($250/month) are a fraction of HIC wages. Labour-intensive industries (garments, electronics assembly) particularly benefit
- **Access to raw materials:** Mining, oil, and agricultural TNCs locate near resource deposits (e.g., Rio Tinto in Australia, Glencore in DRC)
- **Access to new markets:** Selling products to growing consumer populations in emerging economies (e.g., Unilever sells products in 190 countries; half of its revenue comes from developing markets)
- **Reduced regulation:** Weaker environmental, health and safety, and labour laws in some LICs/NEEs reduce production costs — this is sometimes called the "pollution haven hypothesis"
- **Tax incentives:** Governments in developing countries offer tax holidays, free trade zones, and infrastructure to attract FDI. Special Economic Zones (SEZs) provide tailored conditions
- **Avoid trade barriers:** Producing inside a trade bloc avoids external tariffs (e.g., Nissan manufacturing in Sunderland gave tariff-free access to the EU Single Market pre-Brexit)
- **Spatial division of labour:** Different functions located where they can be performed most efficiently: HQ and R&D in HICs (skilled labour, universities, capital markets); manufacturing in NEEs/LICs (cheap labour, weak unions); raw material extraction in resource-rich countries

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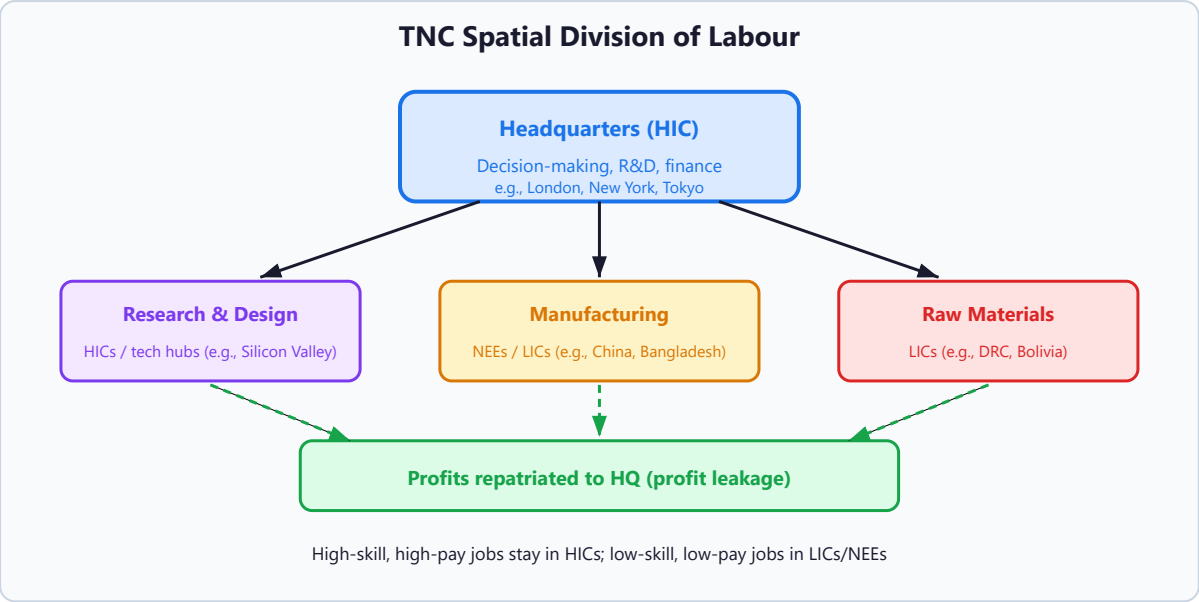

Impacts of TNCs

	Positive	Negative
Economic	Create jobs (direct and indirect via supply chains); increase exports; transfer technology and management skills; generate tax revenue; build infrastructure (roads, ports, utilities)	Profit repatriation to HQ country (leakage) — e.g., only ~$3 of a $30 garment's retail price stays in Bangladesh. Exploit cheap labour; "footloose" behaviour (leave if costs rise, devastating local economies); aggressive tax avoidance through transfer pricing and profit shifting
Social	Training and skill development for local workers; improved infrastructure benefits wider community; access to global products and brands; demonstration of different working practices	Poor working conditions in many factories (Rana Plaza collapse, Bangladesh 2013: 1,134 deaths); long hours; low wages; child and forced labour in supply chains; widening inequality between TNC employees and informal sector workers
Environmental	May bring higher environmental standards than local firms; some invest in green technology and corporate sustainability	Pollution; deforestation for palm oil (Indonesia, Malaysia); resource extraction with inadequate environmental safeguards; "race to the bottom" as countries compete by weakening

	programmes (e.g., Unilever's sustainable sourcing commitments)	environmental regulations. Carbon-intensive global supply chains
Cultural	Cultural exchange and diversity; consumer choice; global communication networks	Cultural homogenisation; loss of local identity and traditions; "McDonaldisation" of diet and lifestyle; displacement of local businesses by chains
Political	Can encourage governance reforms as a condition of investment; increase government revenue enabling public spending	Can exert disproportionate political influence; lobbying against regulation; corruption (bribing officials for contracts or resource access); "regulatory capture"

Case Study: Apple Inc. — Global Supply Chain and Spatial Division of Labour

Apple (headquartered in Cupertino, California; market capitalisation ~$3 trillion; 164,000 employees) is one of the world's most valuable companies and demonstrates the extreme spatial division of labour:

- **Design & R&D:** Cupertino, USA — high-skill, high-pay jobs (average Apple engineer salary ~$150,000/year). Also R&D centres in Israel, UK, China, and India
- **Manufacturing:** Outsourced primarily to Foxconn (Hon Hai Precision) and Pegatron in China (Zhengzhou facility alone employs 300,000 workers). Assembly-line workers earn ~$400/month for 60+ hour weeks. Concerns about working conditions led to a series of worker suicides at Foxconn's Shenzhen facility in 2010. Apple has since diversified manufacturing to India (Foxconn and Tata, producing ~7% of iPhones) and Vietnam
- **Raw materials:** Cobalt from DRC (60% of world supply; artisanal mining involves ~40,000 children according to UNICEF); lithium from Chile and Australia; rare earth elements from China (processing monopoly). Apple's supply chain spans 50+ countries
- **Sales and retail:** Global market — 520+ Apple Stores in 25 countries, concentrated in affluent HIC cities
- **Tax:** Historically routed billions in profits through Irish subsidiaries exploiting a tax arrangement ("Double Irish"). In 2016, the EU ordered Ireland to collect $14.3 billion in back taxes from Apple, ruling the tax arrangement constituted illegal state aid. Apple also uses Jersey, Luxembourg, and the Netherlands for tax optimisation

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- **Value distribution:** Of a $999 iPhone, approximately $490 is Apple's profit margin. Manufacturing labour costs are estimated at just $12–$30. Component manufacturers (Samsung, TSMC, Qualcomm) capture another portion. Assembly workers and raw material miners receive the smallest shares. This illustrates how value is captured at the top of global value chains

Case Study: Unilever — A TNC in Developing Markets

Unilever (dual headquarters in London and Rotterdam; 127,000 employees; operates in 190 countries) provides a contrasting TNC case study:

- **Developing market focus:** Over 58% of Unilever's revenue comes from developing and emerging markets. Products are adapted for local incomes: single-use sachets of shampoo, soap, and detergent allow very poor consumers to buy branded products
- **Sustainable Living Plan:** Committed to halving environmental footprint, sourcing 100% agricultural raw materials sustainably, and improving health and livelihoods of 1 billion people. Sources tea sustainably through Rainforest Alliance certification; uses sustainably sourced palm oil
- **Positive impacts:** Creates local employment (direct and in supply chains); sources from 5.5 million smallholder farmers; Lifebuoy soap handwashing campaigns have reached 1 billion people in Asia and Africa; pays taxes in operating countries
- **Criticisms:** Single-use sachets generate massive plastic waste (estimated 855 billion sachets sold annually across the industry, most unrecyclable); promotion of Western consumer lifestyles; palm oil sourcing linked to deforestation in Indonesia and Malaysia despite sustainability pledges; profit ultimately repatriated to shareholders in HICs

Free Trade vs Protectionism

Arguments for Free Trade

- Promotes specialisation and comparative advantage, increasing global efficiency and total output
- Lower prices for consumers through competition, economies of scale, and access to cheaper imports
- Greater product variety and consumer choice
- Encourages foreign direct investment (FDI) and technology transfer to developing countries

- Can stimulate export-led economic growth (demonstrated by the East Asian "tigers": South Korea, Taiwan, Singapore, Hong Kong; and more recently by China and Vietnam)
- Promotes international cooperation and reduces the likelihood of conflict between trading partners

Arguments for Protectionism

- **Infant industry argument:** New industries in LICs need temporary protection from established HIC competitors until they achieve economies of scale and competitiveness. South Korea protected its car and electronics industries in the 1960s–80s; they are now globally competitive (Hyundai, Samsung, LG)
- **Job protection:** Prevents "dumping" (selling goods below production cost to destroy competitors) and protects domestic employment from cheap imports. Particularly important during recessions
- **National security:** Protect strategic industries essential for national security — food production, energy, defence manufacturing, semiconductors, pharmaceuticals. The COVID-19 pandemic exposed dangerous dependencies on global supply chains for PPE and medical equipment
- **Environmental and labour standards:** Prevent a "race to the bottom" where countries lower standards to attract trade and investment. Carbon border adjustment mechanisms (CBAMs) aim to prevent "carbon leakage" by imposing tariffs on imports from countries with weaker climate policies
- **Government revenue:** Tariffs generate income — important for LIC governments with limited domestic tax collection capacity. In some LICs, trade taxes account for 30–50% of government revenue
- **Trade deficit reduction:** Tariffs on imports aim to reduce trade deficits and protect domestic manufacturers

Methods of Protectionism

Method	Description	Example
Tariffs	Taxes on imported goods, making them more expensive and less competitive relative to domestic products	US tariffs of 25% on Chinese steel (2018); EU tariffs on Chinese electric vehicles (2024)
Quotas	Physical limits on the quantity or value of goods that can be imported	EU sugar import quotas (now reformed); Japanese rice import quotas
Subsidies	Government payments to domestic producers, reducing their costs and making them more	EU CAP farm subsidies (~$50bn/year); US cotton subsidies; Airbus subsidies

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	competitive against imports	(WTO ruled illegal)
Non-tariff barriers	Health/safety regulations, environmental standards, product labelling requirements, bureaucratic customs procedures that effectively restrict imports without explicit tariffs	EU food safety standards exclude many LIC agricultural products; Japanese building codes effectively prevent foreign timber imports
Embargoes	Complete ban on trade with a country, usually for political or security reasons	US embargo on Cuba (since 1960); Western sanctions on Russia (from 2022)
Currency manipulation	Deliberately keeping a currency undervalued to make exports cheaper and imports more expensive	China has been repeatedly accused by the US of keeping the yuan artificially low to boost exports

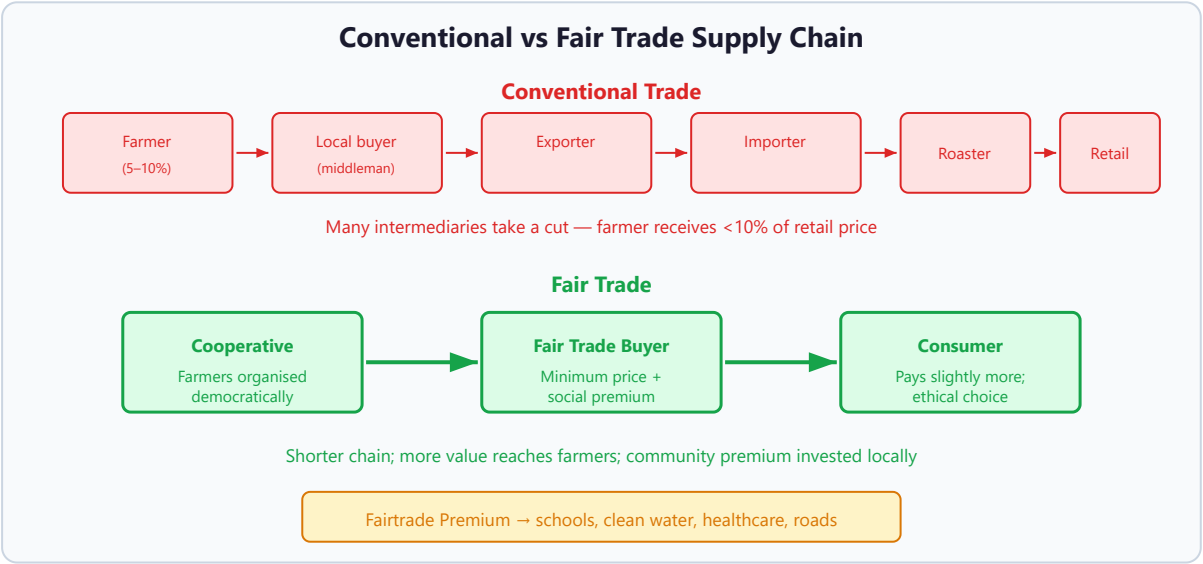
Exam Tip: The free trade vs protectionism debate is central to this topic. Avoid presenting it as a simple binary — in practice, no country practises pure free trade or pure protectionism. Even the most vocal advocates of free trade (USA, EU) use extensive subsidies and non-tariff barriers. The strongest answers recognise that the optimal trade policy depends on a country's level of development, economic structure, and strategic priorities. Use historical evidence: the "Asian tigers" used strategic protectionism before opening to trade; the USA and UK were highly protectionist during their industrialisation in the 19th century.

Fair Trade

Fair trade: A trading partnership that seeks greater equity in international trade by offering better trading conditions and rights to marginalised producers and workers in the Global South. Fair trade-certified products (bearing the FAIRTRADE Mark) guarantee a minimum price that covers the cost of sustainable production regardless of market fluctuations, plus a Fairtrade Premium for community development investment. The system is governed by Fairtrade International (based in Bonn). Global fair trade retail sales reached ~$12 billion in 2022.

How Fair Trade Works

- Producers (organised in democratic cooperatives) receive a guaranteed **minimum price** that covers the cost of sustainable production, providing a safety net when market prices crash
- An additional **Fairtrade Premium** (typically 10–20% above the minimum price) is paid into a communal fund. The cooperative's members democratically decide how to invest it — typically in schools, healthcare clinics, clean water, roads, or agricultural improvements
- Standards prohibit child labour, forced labour, and require environmental sustainability measures (reduced chemical use, water conservation, reforestation programmes)
- Long-term trading relationships (minimum 1-year contracts) provide stability and predictability for producers, enabling planning and investment
- Pre-financing arrangements (up to 60% of contract value) help producers who lack access to credit



Evaluating Fair Trade

Strengths	Limitations
Guaranteed minimum price provides income security during price crashes — e.g., when the coffee price fell below $1/lb in 2001–02, fair trade cooperatives still received $1.26/lb	Covers a tiny fraction of global trade (<1% of world trade; ~4% of UK tea and coffee sales). Too small to transform global trade structures
Social premium has funded tangible community improvements: 33,000+ projects globally (schools, wells, clinics, roads)	Premium prices may reduce consumer demand, limiting market growth. Some consumers are not willing to pay 10–30% more

Encourages sustainable farming practices (shade-grown coffee, organic methods, reforestation) that protect biodiversity and soil	Certification costs ($2,000–$4,000 per cooperative) and bureaucratic requirements can exclude the smallest and poorest farmers who need help most
Empowers farmers through democratic cooperative structure; gives them greater control over production and marketing decisions	Does not address structural causes of trade inequality: HIC subsidies, tariff escalation, power of TNCs, WTO rules. Treats symptoms, not causes
Raises consumer awareness of global trade justice issues; shifts consumer behaviour towards ethical purchasing	Critics argue it can create dependency on a niche market rather than building genuine competitiveness. Some economists (e.g., the Economist magazine) argue it distorts markets by encouraging overproduction of fair trade commodities

Case Study: Fair Trade Coffee in Ethiopia

Ethiopia is the birthplace of coffee and Africa's largest producer (~500,000 tonnes/year; 5 million households depend on coffee). Coffee accounts for ~30% of export earnings, making Ethiopia classic example of primary product dependency.

- **Fair trade cooperatives:** The Oromia Coffee Farmers' Cooperative Union (OCFCU, est. 1999) represents 405 cooperatives and 440,000 farmers. It exports Fairtrade and organic certified coffee directly to international buyers, cutting out middlemen
- **Impact of fair trade:** Farmers receive $1.60–$2.20/lb vs $0.50–$1.00/lb on the conventional market. The Fairtrade Premium has funded 12 primary schools, 3 health clinics, 5 clean water projects, and agricultural training centres. Members report 30% higher incomes than non-fair-trade neighbours
- **Limitations in Ethiopia:** Only ~5% of Ethiopian coffee farmers are in fair trade cooperatives; the vast majority still sell through conventional middlemen at low, volatile prices. Ethiopia needs to develop its own processing and roasting capacity to capture more value — currently, ~95% of Ethiopian coffee is exported as raw green beans. European and American roasters and retailers capture the majority of the final retail price (a $4 cup of coffee in London yields less than $0.10 for the Ethiopian farmer)

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- **Ethiopia Commodity Exchange (ECX):** Established 2008 to improve price transparency and reduce middleman exploitation for all farmers, not just fair trade members. Has increased prices for some farmers but critics argue it has disrupted direct relationships between cooperatives and international buyers

Trade and Development

Trade as a Development Strategy

- **Export-led growth (ELG):** Countries use trade — especially manufactured exports — as the engine of rapid economic development. This strategy has been spectacularly successful in East Asia (South Korea, Taiwan, Singapore, China, Vietnam) but less so in many other contexts. ELG requires: investment in education and infrastructure, strategic industrial policy, stable governance, and access to export markets
- **Import substitution industrialisation (ISI):** Countries attempt to develop by replacing imported manufactured goods with domestically produced alternatives, using high tariffs and subsidies to protect infant industries. Widely adopted in Latin America (Brazil, Argentina, Mexico) and South Asia (India) from the 1950s–1980s. ISI produced initial industrialisation but often resulted in inefficient, uncompetitive industries dependent on continued protection. Most countries shifted towards export orientation from the 1980s–90s
- **Special Economic Zones (SEZs):** Geographically defined areas within a country that operate under different (more liberal) economic regulations than the rest of the country, offering: tax holidays, reduced tariffs, streamlined customs, relaxed labour laws, and improved infrastructure to attract FDI and boost exports. China's SEZs (Shenzhen, Xiamen, Zhuhai, Shantou, Hainan) have been phenomenally successful; Shenzhen grew from a fishing village of 30,000 in 1980 to a tech metropolis of 17 million. India, Bangladesh, and many African countries have established SEZs with varying success

Case Study: China's Trade-Led Development

China's transformation from an isolated, agricultural economy to the world's largest trading nation and second-largest economy is the most significant development story of the modern era:

- **Opening up (1978):** After Mao's death, Deng Xiaoping launched economic reforms ("Reform and Opening Up"). Established four SEZs (1980) to attract foreign investment. Allowed private

enterprise and market mechanisms while retaining state control of strategic sectors — "socialism with Chinese characteristics"

- **WTO accession (2001):** Joining the WTO gave China access to global markets on MFN terms. Chinese exports surged from $250 billion (2000) to $3.6 trillion (2023). China became the "factory of the world" for manufactured goods, leveraging a massive, low-cost, disciplined workforce
- **Scale of transformation:** GDP grew from ~$150 billion (1978) to over $17 trillion (2023) — a 100-fold increase. 800 million people lifted out of extreme poverty (World Bank). Urbanisation rose from 18% to 65%. China now produces ~28% of global manufacturing output
- **Moving up the value chain:** China has shifted from cheap, low-value manufacturing (toys, textiles) to higher-value products (electronics, EVs, solar panels, AI). Huawei, BYD, Xiaomi, and TikTok are globally competitive brands. China now spends more on R&D than any country except the USA
- **Costs and criticisms:** Severe environmental degradation (16 of the world's 20 most polluted cities were Chinese in the early 2000s); labour exploitation (sweatshop conditions, worker suicides); growing inequality (Gini coefficient ~0.47, among the world's highest); geopolitical tensions with USA (trade war from 2018, technology restrictions); debt-fuelled growth; property market crisis
- **Belt and Road Initiative (BRI, launched 2013):** China investing $1 trillion+ in infrastructure (ports, railways, roads, digital networks) across 140+ countries in Asia, Africa, Europe, and Latin America. Expands Chinese trade routes, secures resource access, and extends geopolitical influence. Critics warn of "debt-trap diplomacy" (Sri Lanka's Hambantota Port leased to China for 99 years after default) and environmental damage

Exam Tip: Trade questions in OCR often require you to evaluate whether trade promotes or hinders development. Structure your answer: (1) theoretical arguments for trade-led growth (comparative advantage, specialisation, efficiency gains); (2) evidence of trade-led success (China, Vietnam, South Korea — with specific data); (3) evidence that trade can perpetuate inequality (dependency theory, deteriorating terms of trade, colonial legacy, TNC exploitation); (4) role of trade rules, TNCs, and fair trade in shaping outcomes; (5) balanced conclusion recognising that the benefits of trade depend on what you trade, on what terms, and whether gains are distributed equitably. Always support arguments with case study evidence and specific data.

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